www.tntextbooks.in

vii. Producers - Agent - Wholesaler - Retailer - Consumer

In addition to the above channels of distribution, the middlemen, agents play the role of producers and wholesalers. They gather the agricultural produces or fishes from boats operators. They collect orders from the wholesalers and bring the goods to the place of wholesaler. Agents perform their functions for a commission based on their turnover.



viii. Manufacturer - Authorised Dealers - Consumers

To retain the control over the relationship with consumers, the manufacturer appoints authorized dealers. They receive all the goods produced by the manufacturer and sells them in smaller quantities to retailers. Authorised Dealers use the brand name of the manufacturer and deal with one producer only. Authorised Dealers provide the service of installation of machinery to the consumers. Sports Utility Vehicles (Cars) are sold through authorized dealers only.

B2B and B2C

All purchases and sales between the producers and wholesalers,and from the wholesalersto retailers,etc. are called Business to Business (B2B) transactions. All business transactions between the producers or wholesalers or retailers on the one side and consumers on the other side are called Business to Consumers(B2C)

II. Channels Based on the Type of Goods and Services

A. Consumer Goods Distribution Channels

Fast moving consumer goods (FMCG) like provision items, clothes, etc. every customer buys to utilise and exhaust them. Next day or week or month fresh purchases need to be made. There are durable goods used by consumers like refrigerator, television, LED bulbs, fan, laptop etc.

They are used continuously for years together. Next purchase is made after some years. Further they need to be installed, serviced and spare parts for replacement. The retail stores for FMCG goods are far more in number than durable goods retailers. But the distribution channels are the same for both of them.

B. Industrial Goods Distribution Channels

Industrial machinery and equipment need shorter channel of distribution. The industries that use the products are less in number. Technical support from producer or dealer is required for installation, operation and maintenance of the machinery. The producer sells the machinery through his salesmen or authorized dealers. MRI - Magnetic Resonance Imaging Scanner used in hospitals to produce images of body structures are sold through authorized dealers or wholesalers to customers.

III. Services Distribution Channels

Services can never be stored. A banking transaction or a mobile connectivity is created for the particular customer at the specific